

# Economic Performance in Key Sectors

How digitalization is changing Nepal's  
biggest industries — and where it still isn't.



Trade



Tourism



Agriculture



SMEs

“

*Digitalization in Nepal's economy is like putting a Vroom electric scooter engine on a gainey's dotar (traditional cart).*

*The engine is powerful. But you need the right road, the right battery, and a driver who knows which button starts the thing.*



**Trade**

Getting there 🚚



**Tourism**

Has the road ✅



**Agriculture**

Figuring it out 🛠️



**SMEs**

Half the road 🚧



## SECTOR 01 — TRADE & E-COMMERCE



### BIKASH'S STORY

Bikash from Pokhara sold handmade lokta paper only to walk-in tourists. Now he lists on Daraz. Orders come from Biratnagar, Birgunj, even internationally. He didn't need a bigger shop. He needed WiFi. 

### ● THE GOOD

- Daraz, HamroBazaar, SastoDeal = national market for small sellers
- UPI-Nepal launched 2024 — Indian tourists can scan & pay
- 1 million+ UPI transactions already processed
- No middleman needed. More profit for local businesses.

### ● THE CATCH

- Nepal graduates from LDC status in 2026 → trade benefits disappear
- Digital trade must fill the gap — but readiness is LOW
- Most markets are still heavily cash-based
- You upgraded the engine. But forgot to pave the road.





## SECTOR 02 — TOURISM

Instagram got more tourists to Nepal than any brochure ever did. 🇳🇵



### Direct Bookings

Trekking agencies in Namche Bazaar get bookings from Germans and Japanese via Instagram DMs and booking.com. No middleman. More profit.



### QR Ticketing

Pashupatinath & Bhaktapur Durbar Square now use QR code-based ticketing. Faster entry. No fake tickets. Less cash.



### Global Campaigns

Visit Nepal campaigns on YouTube reach millions for near-zero cost vs TV. Digital marketing is Nepal's biggest tourism booster.



### THE CATCH

Go 2 hours outside Kathmandu → still CASH ONLY. Your foreign tourist has Visa, Apple Pay, Revolut — none work at the Ghorepani teashop. 🇳🇵

Digital marketing hasn't solved the off-season problem either. Tourists still mostly come Oct–Nov and Mar–Apr. Rest of the year? Empty trails.



## SECTOR 03 — AGRICULTURE

### THE GOOD



#### AI Disease Detection App

TelePlantDoctor (FAO + Nepal, 2024): Farmer takes a photo of a sick plant → gets a diagnosis. Like a doctor's appointment — for your tomatoes. 🍅



#### Mobile Banking Reaches Farmers

eSewa and Khalti used for buying seeds, fertilizer, and selling produce. No need to carry cash to market.



#### Digital Weather Forecasting

Farmers plan planting & harvest using smartphone weather apps. Better planning = less crop loss.



#### KANCHHI MAIYA IN SINDHUPALCHOK

The plant disease app works great.

But Kanchhi Maiya has:

- A 2G connection
- A cracked-screen phone her son left
- No idea what "download the update" means

The app exists. She cannot use it.



### THE CATCH

Agriculture employs Nepal's biggest workforce — but these farmers are:

- Mostly older, hilly/mountain areas
- Poor internet connectivity
- Very low digital literacy

The tool is excellent. The access is broken.



## SECTOR 04 — SMEs (The Little Guys With Big Potential)

**SMEs = 90% of Nepal's businesses | Employ 50%+ of the workforce**



### The Momo Pasal

Owner in New Baneshwor now accepts eSewa and Khalti. Customers prefer it. No need to keep change. Sales went up. Simple change — big impact.



### The Saree Shop

Shop in Birgunj ships sarees to Dharan via Instagram orders and Facebook Marketplace. Never meets the customer. Zero extra cost.



### Banks Want Collateral 🏠

Most SME owners — especially women — don't have collateral. Digital finance is available. The loan door is half-closed.



### Skills Gap 🇮🇳

Amazing at their craft. No idea how SEO, digital ads, or a Google Business listing works. The potential is huge; the training isn't there.



## THE SECTOR SCORECARD — At a Glance

| SECTOR                                                                                       |  DIGITAL WIN |  DIGITAL GAP |
|----------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|
|  Trade       | E-commerce boom, UPI payments, Daraz sellers reach national market                            | Still mostly cash-based, LDC graduation pressure in 2026                                        |
|  Tourism     | Global reach via Instagram, online bookings, QR ticketing at heritage sites                   | Rural tourist areas = cash only, off-season not solved                                          |
|  Agriculture | AI plant disease app, mobile banking for farmers, digital weather forecasts                   | Poor connectivity, older farmers, very low digital literacy                                     |
|  SMEs        | Facebook/Instagram selling, digital payments adopted, national market access                  | No collateral for loans, skills gap, no digital training                                        |



## ONE-LINE TAKEAWAY FOR EACH SECTOR

*The exam-ready version.*



### Trade

*Daraz uncle is winning. Cash-only auntie is being left behind.*



### Tourism

*The gram is selling Nepal better than any brochure ever did — but only Kathmandu tourists can pay digitally.*



### Agriculture

*Great tools, wrong audience. Fix the access, not the app.*



### SMEs

*Big opportunity. Small support. Half the door is open.*